THE WAY OUT...

What has triggered the current crisis and what can be done to pre-empt it next time?

PROBLEMS

↘ COAL SHORTAGE

India gets 60 per cent of its electricity from coal. Average coal stocks fell to nine days in mid-April, the lowest in eight years and lower than the government-mandated average of 24 days' stock. As per the coal directory 2020-21, India was the second largest importer of coal, mainly from Indonesia, Australia, South Africa and the US. We imported 215.3 million tonnes in 2020-21, 248.5 MT in 2019-20 and 235.4 MT in 2018-19.

↘ HIGH AT&C LOSSES

Though power minister R.K. Singh informed Parliament that aggregate all-India AT&C losses reduced from 23.7 per cent in FY16 to 21.8 per cent in FY20, our aggregate technical and commercial losses remain among the highest in the world. Technical loss is the energy lost when electricity is carried over wires, aggravated by poor equipment. Commercial losses are caused by theft and pilferage of power. While 18 discoms witnessed a decline in losses, 12 saw a rise. This loss is the percentage of power procured by the discom for which it did not receive any payment.

↘ DIFFERENTIAL TARIFF

Consumers across different categories pay different prices for power. An industrial consumer pays the most, a farmer the least. The tariff varies from over a rupee per unit to nearly Rs 8 per unit.

↘ BLEEDING DISCOMS

Weighed down by differential tariff, long-term power purchase agreements (PPAs) and unpaid dues, discoms cannot invest in superior networks and paying dues

SOLUTIONS

↘ Rajasthan, Andhra Pradesh, Gujarat, Karnataka and Maharashtra have reduced leakages by separating feeders for agriculture use. Discoms can reduce power procurement costs by encouraging farmers to instal meters on every farm and ensuring benefits go directly to them

↘ Incentivise consumers to meet part of their load via renewable energy. They can monetise their rooftops and sell the excess to discoms. Adequately compensate discoms for expenses to integrate rooftop solar power generation

↘ Discoms must be pushed to bring down cross subsidies to 20 per cent of power purchase cost

↘ Pay dues, especially by government bodies

↘ Find quick resolution to disputes between discoms and plants based on imported coal

↘ Rationalise multiple levies on coal—royalty on basic price (14%), GST (5%) and GST Compensation cess (Rs 400 per tonne). Its transportation, too, is expensive as rail freight charges cross-subsidise passenger transport.

Source: NITI Aayog; PRS Legislative Research

am sure RDSS will do wonders to reduce cross-subsidisation," says Hetal Gandhi, who leads the energy transition in Crisil. "The disbursement is linked to the discom committing to a certain number of structural issues. Some 30-35 discoms have submitted their targets in November. A target-based scheme can bring about changes."

There is no escaping long-term structural reform, though. This includes paying upfront for subsidies assured as an election dole, payment of dues by government agencies and bringing in professional management at discoms to push through essential reform. States need to be incentivised to upgrade their distribution infrastructure. Cleaning up the power distribution mess for farms is another area of priority. The National Tariff Order has asked states to slash cross-subsidies to +\- 20 per cent of the average cost of procurement of power by 2024-25. Open access needs to be implemented for industry, enabling them to freely access cheaper power from anywhere on the grid. Peak power tariff, where discoms can charge high prices during peak load and offer discounts at leaner times, can also be implemented. It works well in Europe, Australia and many states in the US. States also need to be pushed to charge and recover bills from every meter.

More than anything, however, India needs to strengthen the regulator to strengthen the power sector. A study done by the World Bank found that allowing SERCs to function with minimum political interference has a significant positive association with profit per unit of electricity. Currently, no clear accountability mechanisms govern SERCs.

Power subsidy is the other bullet that has to be bitten. It needs to be redesigned using DBT, which can help achieve welfare goals while being less distortionary. The proposed amendment to the Electricity Act incorporates these provisions, they now have to be discussed in Parliament.

A more concerted push to diversify India's energy basket and greater incentives for energy-efficient appliances across the country are other measures India must explore.

If the country is indeed serious about pitching itself as an investment destination, it can no longer put off reform of this fundamental building block of the economy. Power cuts cannot be a part of a country aspiring to be a world superpower. ■